

study not readily transferable. My idea is that gambling was *sterilized* and domesticated uncertainty. In the casino you know the rules, you can calculate the odds, and the type of uncertainty we encounter there, we will see later, is *mild*, belonging to Mediocristan. My prepared statement was this: “The casino is the only human venture I know where the probabilities are known, Gaussian (i.e., bell-curve), and almost computable.” You cannot expect the casino to pay out a million times your bet, or to change the rules abruptly on you during the game—there are never days in which “36 black” is designed to pop up 95 percent of the time.*

In real life you do not know the odds; you need to discover them, and the sources of uncertainty are not defined. Economists, who do not consider what was discovered by noneconomists worthwhile, draw an artificial distinction between Knightian risks (which you can compute) and Knightian uncertainty (which you cannot compute), after one Frank Knight, who rediscovered the notion of unknown uncertainty and did a lot of thinking but perhaps never took risks, or perhaps lived in the vicinity of a casino. Had he taken economic or financial risks he would have realized that these “computable” risks are largely absent from real life! They are laboratory contraptions!

Yet we automatically, spontaneously associate chance with these Platonified games. I find it infuriating to listen to people who, upon being informed that I specialize in problems of chance, immediately shower me with references to dice. Two illustrators for a paperback edition of one of my books spontaneously and independently added a die to the cover and below every chapter, throwing me into a state of rage. The editor, familiar with my thinking, warned them to “avoid the ludic fallacy,” as if it were a well-known intellectual violation. Amusingly, they both reacted with an “Ah, sorry, we didn’t know.”

Those who spend too much time with their noses glued to maps will tend to mistake the map for the territory. Go buy a recent history of probability and probabilistic thinking; you will be showered with names of alleged “probability thinkers” who all base their ideas on these sterilized constructs. I recently looked at what college students are taught under the subject of chance and came out horrified; they were brainwashed with this ludic fallacy and the outlandish bell curve. The same is true of people doing PhD’s in the field of probability theory. I’m reminded of a recent book by a thoughtful mathematician, Amir Aczel, called *Chance*. Excellent book perhaps, but like all other modern books it is grounded in the ludic fallacy. Furthermore, assuming chance has anything to do with mathematics, what little mathematization we can do in the real world does not assume the mild randomness represented by the bell curve, but rather scalable wild randomness. What can be mathematized is usually not Gaussian, but